

Proposed Research Title

Evidence from Selected OIC Countries Points to a Maqasid al-Shariah-Aligned ESG Framework for Green Sukuk.

Institution: University of Greater Manchester

Name: **Ms Shamima Chowdhury**

Phone: **+44 7482 581620**

Email: **shamimac096@gmail.com**

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Table of Contents

1. Background and Rationale.....	2
1.1. Aim and Research Questions.....	3
2. Literature Review.....	3
2.1 Islamic Finance, Maqasid al-Shariah and Sustainable Development.....	3
2.2 Green Sukuk and Sustainable Financing.....	4
2.3 ESG Integration in Islamic Finance.....	4
2.4 Maqasid–ESG Approaches to Green Sukuk.....	5
2.5 Identified Research Gap.....	5
3. Methodology.....	6
3.1 Research Design.....	6
3.2 Case Selection and Data.....	6
3.3 Data Analysis.....	7
3.4 Ethical Considerations.....	7
4. Expected Contribution.....	7
References.....	9

1. Background and Rationale

In the last two decades, Islamic finance has grown, with sukuk (Islamic bonds) becoming a major funding source for businesses and governments (Uluyol, 2023). Environmental, Social, and Governance (ESG) investments and the UN's Sustainable Development Goals have changed perspectives of finance's social and environmental goals (Khan, 2019). Recent studies show that Islamic law's top goal—protecting faith, life, intellect, progeny, and wealth—is linked to social justice and sustainability (Harahap et al., 2023). Thus, they can provide a unique ethical framework for Islamic financial products.

Green sukuk, sharia-compliant instruments that fund environmental or climate activities, connect Islamic finance to the SDGs (Rahim et al., 2024). Case studies from Saudi Arabia, Malaysia, and Indonesia show that shariah-compliant green sukuk can fund social programs, low-carbon infrastructure, and renewable energy. Critics worry about greenwashing and ethical integration because most issues use green labelling and fundamental ESG rules without a maqasid framework (Mohd Zain et al., 2024).

Recent conceptual studies recommend integrating ESG techniques with Islamic corporate governance and maqasid al-shariah to create "Maqasid-driven ESG" hybrid models, however this field is still young and theoretical (Mohd Zain et al., 2024). Current green sukuk frameworks and issuances have not been widely explored in terms of how they operationalise maqasid and ESG across countries, nor has comparative, practice-oriented research been conducted to inform future product design and regulation (Rahim et al., 2024).

The University of Greater Manchester's emphasis on independent project work and intensive research training makes this topic appropriate. It directly engages with real financial instruments and policies, allows qualitative and fundamental quantitative methodologies (including document analysis, content coding, and restricted descriptive data on issuances), and links sustainable finance, Islamic jurisprudence, and policy execution.

The proposed study will examine how investors, issuers, and policymakers perceive a more cohesive Maqasid-ESG framework and how green sukuk frameworks and sovereign or corporate issuances in key OIC markets like Saudi Arabia, Indonesia, Malaysia, and one emerging market integrate maqasid-aligned ESG principles.

1.1. Aim and Research Questions

Aim

To offer a conceptual Maqasid-aligned ESG framework for future green sukuk design and regulation, as well as to critically evaluate the ways in which ESG principles and maqasid al-shariah are integrated into current green sukuk practices.

Questions for Research

1. How are ESG and maqasid goals explained by the national and international green sukuk frameworks that are now in place (such as the UNDP/IDB advice, Indonesia's sovereign green sukuk guidelines, and Malaysia's SRI Sukuk framework)?
2. How well do the structures, disclosure, governance, and use-of-proceeds of a few chosen green sukuk issuances in significant OIC countries align with these objectives?
3. What similarities, differences, and conflicts show up in various contexts, and how may these conclusions aid in creating an ESG framework for green sukuk that is in line with Maqasid and strikes a balance between Shariah values, environmental goals, and consumer expectations?

2. Literature Review

2.1 Islamic Finance, Maqasid al-Shariah and Sustainable Development

Shariah principles promote risk-sharing, fairness, and a relationship to the economy while prohibiting riba (interest), gharar (extreme uncertainty), and maysir (Shahariman et al., 2024). Recent study suggests that Islamic finance should promote social justice,

human welfare, and environmental stewardship rather than just reusing traditional products (Yasmeen et al., 2024). In maqasid al-shariah, religion, life, intellect, progeny, and riches are the greater aspirations. Authors argue that Islamic financial institutions can promote financial inclusion, poverty reduction, and climate-related investments, which is linked to the SDGs (Hosen, 2023). Sukuk, waqf, and Islamic microfinance promote inclusive growth and green transformation when employed according to maqasid (Ahmed et al., 2023). Meanwhile, much of this work is conceptual, establishing the normative compatibility of sustainable development and maqasid but not how these goals are implemented in specific markets, goods, or regulatory systems.

2.2 Green Sukuk and Sustainable Financing

Shariah-compliant green sukuk invest income in climate-related or environmental projects (Mohamed, 2025). Malaysia's SRI/green sukuk frameworks and Indonesia's sovereign green sukuk provide SDG alignment and significant funding for low-carbon mobility, renewable energy, and climate resilience (Sheikh, 2024). Policy papers stress green sukuk as a key tool for addressing the climate-finance gap in Muslim-majority nations, focusing on explicit green taxonomy, strict use-of-proceeds requirements, and reliable effect monitoring (Faizi et al., 2024). Empirical study shows that Indonesia, Malaysia, and many Gulf countries have rapidly increased green sukuk issuance (Liu et al., 2021). This growth has also revealed "green" eligibility gaps, fragmented norms, high transaction costs, and little secondary-market liquidity. Numerous studies argue that environmental preservation supports maqasid goals and presents green sukuk as strategies for implementing SDGs and Shariah (Raimi et al., 2024). These evaluations focus on specific issues or examples from one nation rather than translating maqasid into systematic assessment criteria.

2.3 ESG Integration in Islamic Finance

Alongside this, research on integrating ESG factors into Islamic finance has grown. Reviews show that Islamic asset managers and banks are marketing ESG products and incorporating sustainability into reporting and screening (Hadi et al., 2025). However, behaviours vary and sometimes are surface-level. Shariah aims and traditional ESG

have similarities and contrasts, say researchers. ESG offers widely accepted environmental and social performance standards, unlike previous evaluations that were secular and insensitive to religious and jurisprudential components of maqasid (Shalhoob, 2025). Proposals for "Maqasid-driven ESG" frameworks include Islamic goals into ESG categories. Governance indicators are linked to justice, wealth protection, and environmental risk management can save lives. Despite these improvements, few studies apply ideas or conceptual scorecards to real-world commodities, disclosures, or regulatory regimes.

2.4 Maqasid–ESG Approaches to Green Sukuk

A brief study explores Islamic financing, green sukuk, and ESG. Using maqasid and international green bond standards, developing partners explain how green sukuk frameworks can be taxonomically sound and Shariah-compliant (Rahim et al., 2024). Scholarly publications describe green sukuk as "dual-compliance" instruments that meet global environmental and maqasid ethical requirements (Alhejaili, 2025). Critical studies warn against "form-over-substance" Shariah compliance and greenwashing, noting that certain issuances use limited impact reporting or generic ESG branding (Uddin, 2025). Some publications attempt to link certain maqasid (such as wealth or life protection) to green sukuk-backed project categories, however these links are theoretical and cannot be applied consistently across states.

2.5 Identified Research Gap

Most of the literature agrees that green sukuk may finance SDGs, that Islamic finance is normatively linked to sustainable development through maqasid, and that modified ESG methodologies can operationalise sustainability in Islamic finance (Raimi et al., 2024). However, considerable gaps remain. Maqasid-based ESG research on green sukuk focuses on issuance volumes, market expansion, and SDG narratives, unlike empirical research that examines frameworks, prospectuses, and impact reports (Mustaffha, 2025). Most assessments focus on Malaysia or Indonesia and provide little information about how national frameworks understand and execute maqasid and ESG principles. Instrumental criteria for maqasid, ESG, and product design are lacking.

The proposal addresses these issues by conducting a desk-based, multiple-case analysis of green sukuk regimes and issuances in key OIC states. The paper evaluates documentation data from multiple countries using a Maqasid-ESG logic to provide a practical approach for analysing green sukuk's maqasid-aligned ESG features and constraints. To move beyond theoretical models, it provides investors, issuers, and regulators with a methodical, evidence-based platform to build, analyse, and improve green sukuk.

3. Methodology

3.1 Research Design

A qualitative, multiple-case study methodology will be used for the project, which is suitable for in-depth analysis and sophisticated research skills. It will mix:

- Documentary and content examination of issuance documents and green sukuk frameworks.
- To enhance contextual awareness, (if feasible) perform a limited number of semi-structured expert interviews (for example, with four to six Shariah scholars, Islamic financial professionals, or regulators).

3.2 Case Selection and Data

Cases that have been suggested (based on available data and supervisory guidance):

- Malaysia: Green Sukuk and SRI issues.
- Indonesia: Sovereign Green Sukuk.
- Saudi Arabia or another OIC/GCC country with a sizable green sukuk market.

Among the data sources will be:

- Framework and regulatory resources (e.g., UNDP/IDB research, national green bond/sukuk guidelines, Securities Commission Malaysia's SRI Sukuk Framework).

- Offering circulars and prospectuses for selected corporate and sovereign green sukuk.
- Impact reports and disclosures on sustainability.
- Transcripts of expert interviews conducted online with informed consent are optional.

3.3 Data Analysis

1. Framework analysis: Establish an initial coding framework grounded in ESG considerations and maqasid objectives.
2. Frameworks and prospectuses are content-coded to illustrate the treatment of each component (e.g., categories of use-of-proceeds, risk management, social safeguards, governance structures).
3. Identifying trends, benefits, drawbacks, and novel methodologies is achieved by cross-case comparison.
4. Development of a proposed ESG framework for green sukuk aligned with Maqasid, emphasising practical design and policy ramifications.

3.4 Ethical Considerations

- Documentary information is available to the public.
- Ethical approval from the University will be obtained if interviews are conducted; participants will get information sheets and provide their informed consent.
- Upon request, anonymity and confidentiality will be maintained, and all information will be securely retained in accordance with GDPR legislation and university policy.

4. Expected Contribution

Academic contribution

- Expanding the existing research on ESG frameworks informed by maqasid through a comprehensive examination of actual green sukuk transactions in various countries.
- Demonstrating the integration, or lack thereof, of Shariah objectives and sustainability within current frameworks and directives through a structured comparative analysis.

Practical contribution

- Provides issuers, standard-setters, and regulators with an ESG framework aligned with Maqasid to guide future green sukuk disclosure, design, and evaluations.
- Facilitates Shariah boards and investors seeking more exacting criteria to evaluate the sustainability and ethical attributes of green sukuk.

As a research student, the project will:

- exhibit proficiency in the integration of theory and practice, qualitative data analysis, and the design of independent studies;
- establish a robust foundation in green sukuk, Maqasid-oriented ESG, and Islamic sustainable finance.

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